The Walt Disney Company Streaming Services

Team: Medin, Luke, Blenda, Pedzi & Esmeralda

Quinnipiac University

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Professor: Abhik Roy

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The Walt Disney Company Streaming Services Case Analysis

Introduction Summary

The Walt Disney Company's move into streaming completely reshaped its identity from a traditional media giant to a modern digital competitor. By 2022, Disney had overtaken Netflix in global streaming subscriptions thanks to the combined success of Disney+, Hulu, and ESPN+. Disney+ quickly became the centerpiece of this strategy, offering a massive collection of content from popular brands like Pixar, Marvel, Star Wars, and National Geographic. Its fast growth to more than 150 million subscribers showed just how powerful the Disney brand still was in the digital age. However, despite this impressive growth, Disney's streaming division was losing billions of dollars. The Direct-to-Consumer segment, which included all three streaming services, struggled to cover the high costs of content creation, licensing, and global expansion. As Disney aimed to reach profitability by 2024, leadership faced some tough decisions about pricing, advertising options, and bundle strategies. The company had to find a way to balance its "premium, ad-free" image with the need to attract more users and increase revenue in a crowded, competitive market.

Primary Definition

Primary issue: The biggest issue Disney faced was turning its streaming success into a profitable business. While subscriber numbers were climbing quickly, the Direct-to-Consumer segment was losing over a billion dollars a year. The challenge was figuring out how to make streaming sustainable without cutting back on the quality of shows and movies that made people subscribe in the first place. Disney had to find the right balance between growing its audience and finally earning enough revenue to make the business model work long-term. Another major issue involved Disney+ pricing and product strategy. When Disney+ launched, it was positioned as an ad-free, "best-in-class" platform priced well below Netflix to attract millions of subscribers right away. That worked—but as other streaming services began offering ad-supported options at cheaper prices, Disney needed to decide whether to follow suit. Introducing ads could open up new revenue streams and appeal to price-sensitive customers, but it also risked damaging the brand's premium image that Disney+ had built its reputation on. A third major issue centered around the Disney Bundle, which combined Disney+, Hulu, and ESPN+ into one affordable package. The bundle was incredibly popular because it offered great value for money, but it might have been *too* good of a deal. At $12.99 per month for the ad-supported version, it attracted subscribers but also limited Disney's profit margins. The company had to rethink whether bundle pricing should increase, or if new bundle options could better balance customer value with financial return.

Secondary issue: Beyond profitability and pricing, Disney faced several connected challenges that shaped its streaming strategy. The market had become overcrowded with more than 200 streaming services worldwide, including major players like Netflix, HBO Max, Amazon Prime Video, Apple TV+, and Paramount+, making it difficult for any single platform to stand out. At

the same time, consumer behavior was changing rapidly most households now subscribed to multiple services, and nearly 60% of viewers said they were open to watching ads if it meant paying a lower monthly fee. This trend suggested that Disney needed to adapt its offerings to meet shifting preferences while protecting its brand image. Another concern was the imbalance between global growth and revenue generation. A large share of Disney+ subscribers came from markets like India and Southeast Asia through Disney+ Hotstar, but those users contributed far less in average monthly revenue compared to North American subscribers. Finally, Disney also had to manage the identities of its three streaming platforms. Disney+, Hulu, and ESPN+ each targeted different audiences and offered distinct experiences, yet they all had to work together under one unified brand strategy. Balancing these differences while maintaining Disney's reputation for quality and value became an ongoing challenge in its path toward sustainable growth.

Situation and Positioning

So, looking at the U.S. streaming scene, like Disney+, Hulu, and ESPN+. We can see they all allow users/ subscribers to watch movies and shows whenever they want on different devices with a subscription. However, Disney+ concentrates on its big franchises and being family-friendly often without ads. Hulu has a bit of everything, and ads are common. ESPN+ gives you extra sports stuff to go with regular ESPN. Figuring out the sweet spot for price, how many ads people will put up with, and what bundles make sense for different groups, while keeping the brand good, is the tricky part.

When you check prices, selling a bundle for **$10** works best and makes **$40** a month because **4** groups buy it. This beats selling stuff separately at the best price for each, which only makes **$33** total. This happens because different groups want different things, which is why bundling is a good move here.

Alternatives & Qualitative Support

Disney faces the strategic challenge of balancing growth, profitability, and brand coherence as it strengthens its position in the global streaming market. A Bundled Ecosystem Strategy, integrating Disney+, Hulu, and ESPN+, would allow the company to reach multiple audience segments through one value proposition. This approach enhances customer retention by providing diverse content options while spreading acquisition and content costs across platforms. However, it also presents integration complexities and potential brand tension between family-friendly and mature offerings. If executed effectively, it positions Disney as a one-stop entertainment destination capable of competing with diversified rivals like Netflix and Amazon.

The Hybrid Monetization Strategy, which combines ad-supported and premium tiers, offers Disney a practical path to widen accessibility while improving financial sustainability. It allows the company to serve both price-sensitive consumers and premium viewers, thus optimizing

revenue streams. Although managing ad quality and maintaining Disney's brand integrity would require careful oversight, this model can balance inclusivity and profitability in a market increasingly driven by cost-conscious users.

Finally, a Franchise Universe Integration Strategy could transform Disney+ from a streaming service into a central hub for the entire Disney experience linking film, merchandise, theme parks, and gaming. This would deepen engagement and create multiple monetization opportunities anchored in Disney's storytelling heritage. While complex to coordinate, this approach reinforces the company's unmatched brand synergy and positions streaming as part of a larger ecosystem that strengthens loyalty and lifetime value.

Recommendation

To address Disney's central challenge of achieving profitability in its streaming division while maintaining its premium image and audience reach, the company should adopt an integrated hybrid strategy that combines the most effective elements of the Bundled Ecosystem, Hybrid Monetization, and Franchise Universe Integration approaches. Each strategy offers unique benefits and trade-offs, but together they form a cohesive plan for sustainable growth and brand strength.

The Bundled Ecosystem Strategy, which integrates Disney+, Hulu, and ESPN+, maximizes customer value through cross-platform engagement and cost efficiency. This approach capitalizes on consumer diversity families, sports enthusiasts, and general entertainment viewers allowing Disney to capture different segments under one value proposition. Quantitatively, a $10 Disney–Hulu bundle could generate $40 in monthly revenue compared to $33 if each platform were sold separately, illustrating how bundling expands both reach and total revenue. The main drawback is potential brand tension: combining family-friendly Disney+ with mature Hulu content could confuse audiences. However, clear segmentation, user profiles, and branding distinctions can preserve Disney's image while keeping the financial upside of the bundle. The advantage of increasing revenue and retention clearly outweighs the image management challenge, especially if messaging reinforces Disney as a provider of "diverse entertainment for every household."

The Hybrid Monetization Strategy provides a viable path to profitability by offering both ad-supported and ad-free tiers across Disney's streaming services. Quantitative analysis supports this approach: under moderate assumptions 60 minutes of daily viewing, six minutes of ads per hour, and a $40 CPM Disney+ could earn about $14.40 in ad revenue per subscriber per month, more than double Hulu's benchmark of $5.90. Even conservative estimates show meaningful financial contributions, confirming that advertising can strengthen margins without heavy price increases. With Disney's strong brand reputation and history of quality control, the risk of over-commercialization can be mitigated through careful ad curation and frequency management. By balancing accessibility, affordability, and premium experience, the hybrid model enables Disney to expand its audience base while progressing toward sustainable profitability in a competitive streaming market.

The Franchise Universe Integration Strategy represents Disney's long-term opportunity to convert Disney+ from a streaming service into a holistic brand platform. This strategy links Disney+ with other business segments such as theme parks, merchandise, gaming, and film experiences, reinforcing Disney's storytelling ecosystem. It opens multiple monetization avenues exclusive merchandise drops, early access to new releases, or ticket discounts for streaming subscribers deepening engagement and lifetime value. The downside is its complexity and high implementation cost, as coordination across multiple divisions and digital systems can be slow and resource-intensive. Yet, the potential payoff is transformative: it allows Disney to leverage its unmatched intellectual property to create a self-reinforcing ecosystem that no competitor can replicate. The long-term brand equity and cross-platform loyalty far outweigh the operational challenges, especially when implemented gradually.

Overall, Disney should begin with a hybrid monetization and bundled ecosystem approach to improve short-term revenue performance while building toward the Franchise Universe model as a long-term strategic vision. Bundling and ad-supported tiers can stabilize income and reduce losses within the next fiscal year, while franchise integration can enhance brand power and customer retention in the years ahead. This layered approach balances innovation with financial discipline, ensuring that Disney not only reaches streaming profitability but also strengthens its position as the world's most complete entertainment ecosystem.

Implementation Plan of Recommendation

What: Disney should introduce an *ad-supported tier* for Disney+ to increase revenue and attract more price-sensitive customers. This will diversify Disney's streaming model and align it with competitors like Hulu and HBO Max, which already use this two-tier structure successfully. It will also help Disney reach profitability in its Direct-to-Consumer division, which reported over $2.5 billion in losses in 2022

Where: The rollout should begin in major markets such as the United States and Canada, where advertising demand and digital infrastructure are strongest. After testing and analyzing performance, Disney can expand this tier to Europe and Asia, following the successful model of Disney+ Hotstar in India and Southeast Asia.

Who: The initiative should be led by CEO Bob Chapek and the Direct-to-Consumer & International Division, working closely with Disney Ad Sales and Hulu's advertising team. Hulu's experience in ad supported streaming makes it valuable for guiding ad placement, pricing (around $30 CPM), and targeting strategies

When:

Implementation should occur in three phases over 12 months.

- **Phase 1 (Months 1–3):** Develop pricing, advertising partnerships, and user interface changes.

- **Phase 2 (Months 4–6):** Launch in North America and begin promotional campaigns.

- **Phase 3 (Months 7–12):** Evaluate performance metrics, adjust ad load (4–8 minutes/hour), and expand to international markets.

How:

Disney will price the ad-supported Disney+ plan at $5.99/month and keep the ad-free version at $7.99–$8.99/month, offering users clear value options. Advertising time should be limited to about 6 minutes per hour, balancing viewer experience and revenue. Disney can leverage its bundle strategy (Disney+, Hulu, ESPN+) to cross-promote and increase average revenue per user. This strategy also complements existing partnerships with advertisers from Hulu's successful ad model.

Risk and Metrics

The main risks include brand dilution, as introducing ads may weaken Disney+'s "best-in-class" image, and viewer dissatisfaction if ad frequency feels intrusive. There is also governance risk around ensuring ad quality aligns with Disney's family friendly standards. External interface risks involve potential pushback from consumers who prefer ad-free experiences or from competitors responding with aggressive pricing.

Key metrics to monitor will include:

- Subscriber growth (especially new users gained through ad-supported plans).
- Churn rate (to ensure ads don't drive cancellations).
- Average revenue per user (ARPU) increases from ad sales.
- Ad fill rate and CPM as indicators of advertising success.
- Customer satisfaction scores and retention rates across both tiers.

Appendix A- Quantitative Support: Disney+ and ESPN+ Bundle

Segment	ESPN+ Reservation Price	Disney+ Reservation Price	Sum (Bundle Value)
Sports fans, no kids	$9.00	$1.50	$10.50
Sports fans with kids	$8.00	$5.00	$13.00
Movie/parents, no kids	$4.50	$8.50	$13.00
Movie/parents with kids	$2.50	$9.00	$11.50

Pricing Scheme	Price	Buyers (# of 4)	Monthly Revenue
Single-price ESPN+	$8.00	2	$16.00
Single-price Disney+	$8.50	2	$17.00
Pure Bundle (ESPN+ + Disney+)	$10.00	4	$40.00
Separate (both sold at optimal single prices)	-	-	$33.00

Appendix B – Extra Credit: Hulu+ Disney+ Hypothetical Bundle

Segment	Hulu Reservation Price	Disney+ Reservation Price	Sum (Bundle Value)
Gen Z/Students	$6.00	$8.00	$14.00
Parents	$5.00	$9.00	$14.00
Single Adults	$7.00	$6.00	$13.00
Cost-sensitive	$4.00	$5.50	$9.50

Pricing Scheme	Price	Buyers (# of 4)	Monthly Revenue
Pure Bundle (Hulu + Disney+)	$9.50	4	$38.00

Appendix B:Calculating Ad Revenue per Subscriber per Month (from the table given)

	Optimistic	Moderate	Conservative
Disney+ Consumptions (minutes per day)	79.2	60	30
Ad minutes inserted per hour	8	6	4
CPM attained	$50	$40	$30
Ad revenue per subscriber per month	**$31.68**	**$14.40**	**$3.60**

Formula used:

Ad revenue per subscriber per month=ad impressions per month per subscriber × CPM/1000

We are given that:

- 30 days per month

- 60 minutes = 1 hour

- Each ad = 0.5 minutes (30 seconds)

- CPM = cost per 1,000 impressions

Monthly Ad Revenue Scenarios

Scenario	Viewing Minutes/Day	Ad Minutes/Hour	Ads/Hour	CPM	Ads/Day	Monthly Ads ($)
Optimistic	79.2	8	16	$50	79.2 ÷ 60 × 16 = 21.12	21.12 × 30 = $633.60
Moderate	60	6	12	$40	60 ÷ 60 × 12 = 12	12 × 30 = $360.00
Conservative	30	4	8	$30	30 ÷ 60 × 8 = 4	4 × 30 = $120.00

The ad revenue per subscriber per month for the 3 scenarios is as follows :

Optimistic : 633.6×50/1000=$31.68

Moderate : 360×40/1000=$14.40

Conservative: 120×30/1000=$3.60

Step 2: Compute Hulu's Ad Revenue per Ad-Supported Subscriber

Given: Weighted average monthly revenue equals $12.92. Thirty percent of ad-free subscribers pay $12.99. Seventy percent of ad-supported subscribers pay $6.99 plus X (ad revenue).

The setup is: 0.3(12.99)+0.7(6.99+X)=12.92.

Calculation steps: 3.897+4.893+0.7X=12.92

8.79+0.7X=12.92

0.7X=4.13,

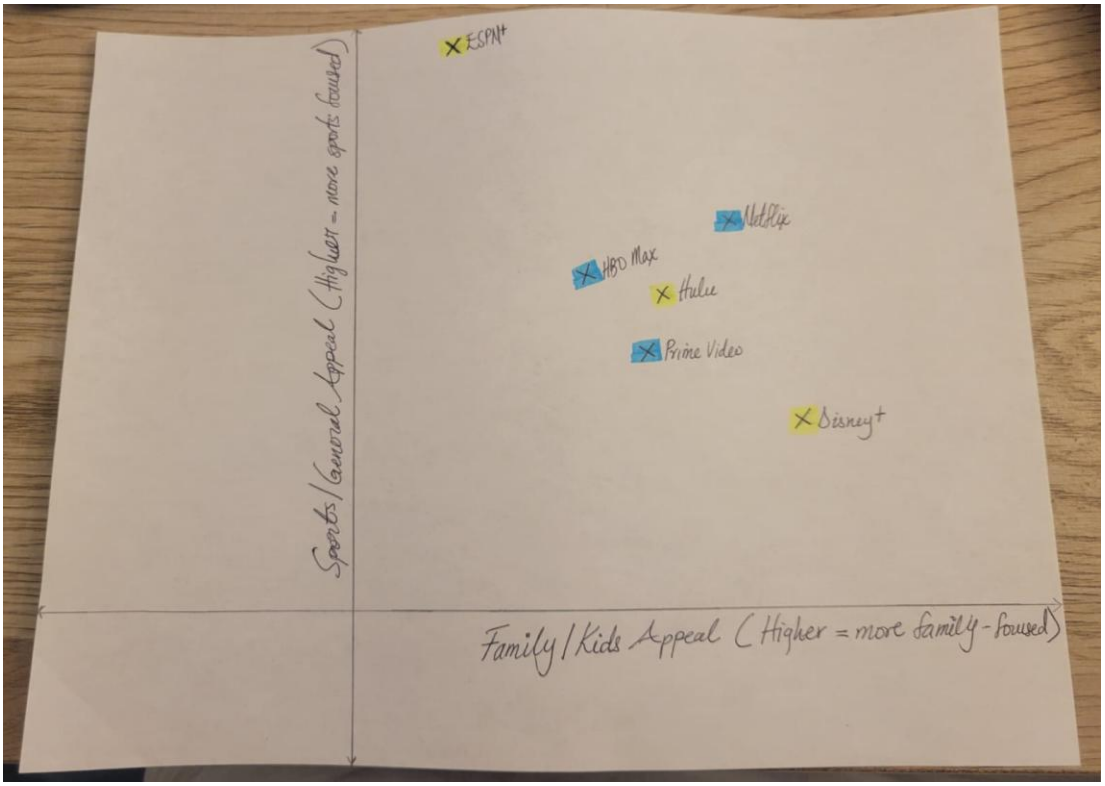
which results in X=5.90.

Hulu's monthly ad revenue per ad-supported subscriber is approximately $5.90

Comparison & Interpretation

Scenario	Disney+ Ad Revenue per Month	Comparison to Hulu's $5.90
Optimistic	$31.68	Far higher , likely unrealistic long-term (too ad-heavy)
Moderate	$14.40	More than double Hulu's , strong potential if ad load and CPM hold steady
Conservative	$3.60	Below Hulu's level , could reflect lighter ad load for premium positioning

Appendix C: Perceptual Map



References

The Walt Disney Company Streaming Services (Harvard Business School Case 9-523-034, Rev. December 1, 2022)